

2. Regret aversion can cause investors to shy away, unduly, from markets that have recently gone down. Regret-averse individuals fear that if they invest, such a market might subsequently continue its downward trend, prompting them to regret the decision to buy in. Often, however, depressed markets offer bargains, and people can benefit from seizing, decisively, these undervalued investments.
3. Regret aversion can cause investors to hold on to losing positions too long. People don't like to admit when they're wrong, and they will go to great lengths to avoid selling (i.e., confronting the reality of) a losing investment. This behavior, similar to loss aversion, is hazardous to one's wealth.
4. Regret aversion can cause "herding behavior" because, for some investors, buying into an apparent mass consensus can limit the potential for future regret. The demise of the technology stock bubble of the late 1990s demonstrated that even the most massive herd can stampede in the wrong direction.
5. Regret aversion leads investors to prefer stocks of subjectively designated *good companies*, even when an alternative stock has an equal or a higher expected return. Regret-averse investors may feel that "riskier" companies require bolder decision making; hence, if the investment fails, the consequences reflect more dramatically on an individual's judgment than do the consequences of investing in a "routine," "safe," or "reliable" stock. With increased perception of personal responsibility, of course, comes increased potential for regret. Investing in *good companies* may not permit investors any more return or less return than those companies perceived to be risky.
6. Regret aversion can cause investors to hold on to winning stocks for too long. People fear that by selling a stock that has been doing well, they might miss out on further imminent gains. The danger here is that in finance, as in physics, whatever goes up must come down.

DIAGNOSTIC TESTING

These questions are designed to detect signs of emotional bias stemming from regret aversion. To complete the test, select the answer choice that best characterizes your response to each item.